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EXECUTIVE COMPENSATION IN CORPORATE DHARMA RĀJYAM:

THE DHĀRMIC PRINCIPLE OF FIDUCIARY PROPORTIONALITY

RESTRAINT BEFORE REWARD

PROPORTION BEFORE PRIVILEGE

ALIGNING AUTHORITY, INCENTIVES, AND STEWARDSHIP WITH DHARMA AND INSTITUTIONAL PURPOSE

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Dharmo viśvasya jagataḥ pratiṣṭhā

Dharma is the foundation of the entire universe

Abstract

Contemporary corporate governance regulates executive compensation primarily through disclosure, benchmarking, shareholder approval, and performance-linked incentives. Yet recurring controversies across jurisdictions demonstrate that legality and procedural compliance alone cannot resolve questions of legitimacy. Executive remuneration increasingly reflects market bargaining power, peer benchmarking, and short-term financial metrics rather than proportionate fiduciary stewardship, intensifying concerns over internal equity, incentive distortion, behavioural risk, and declining institutional trust.

Building upon the *Rāma Rajya Paradigm of Corporate Governance* articulated by Dr. Mrityunjay Athreya and developed in the paper '*Beyond CSR and ESG: Corporate Dharma Rājyam and the Completion of Governance Architecture'*, this paper proposes the *Dhārmic Principle of Fiduciary Proportionality* (DPFP) as a constitutional foundation for executive remuneration. It argues that executive authority constitutes a fiduciary trust rather than proprietary entitlement; consequently, executive reward derives its legitimacy not merely from contractual entitlement or market valuation, but from proportionate stewardship exercised in service of the institution and its stakeholders. Compensation is thus understood as an expression of entrusted responsibility rather than an unrestricted claim upon organisational wealth.

The paper presents DPFP not as an alternative remuneration philosophy, but as a constitutional completion of contemporary executive compensation governance, integrating fiduciary stewardship with existing market, regulatory, and performance-based approaches. It develops a governance architecture centred on original instruments including a Remuneration Constitution, Board Proportionality Matrix, Fiduciary Balance Sheet, Executive Stewardship Dashboard, Annual Executive Proportionality Review, and Stewardship Remuneration Statement. Together, these mechanisms align authority, incentives, behavioural restraint, and long-term capability creation while remaining fully compatible with existing regulatory frameworks.

Rather than advocating remuneration caps or challenging market-based compensation, the paper advances *dhārmic* proportionality as the organising principle of legitimate executive reward. In doing so, it extends *Corporate Dharma Rājyam* (CDR) from the governance of enterprise to the governance of reward, establishing fiduciary stewardship as the constitutional basis of executive remuneration and providing boards, remuneration committees, institutional investors, regulators, and family-owned enterprises with a practical framework for strengthening institutional legitimacy, stakeholder trust, and sustained corporate success.

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1. Why Executive Compensation Requires a Structural Correction

Executive compensation has become one of the principal governance questions of the contemporary corporation. Across major economies, remuneration frameworks have grown increasingly sophisticated, incorporating independent board committees, shareholder approval mechanisms, performance-linked incentives, mandatory disclosures, and enhanced regulatory oversight. Yet public controversy surrounding executive pay continues to intensify. Shareholder revolts over remuneration reports, widening disparities between executive and employee compensation, and repeated instances of extraordinary rewards following corporate underperformance suggest that procedural refinement alone cannot resolve deeper questions of legitimacy.[1]

The evolution of executive remuneration reflects broader transformations in corporate governance. Equity-based incentives, long-term stock awards, and market benchmarking were introduced to align executives more closely with shareholder interests, encouraging long-term value creation and entrepreneurial risk-taking. These developments have undoubtedly strengthened governance by reducing reliance on fixed salaries and linking compensation more directly to organisational performance. Yet experience across jurisdictions increasingly demonstrates that market alignment does not necessarily ensure fiduciary alignment. Executive reward may satisfy contractual expectations while remaining disconnected from institutional stewardship, stakeholder trust, and the long-term health of the enterprise.[2]

The persistence of remuneration controversies suggests that the problem lies not in inadequate regulation but in the continuing misalignment of authority, incentives, and fiduciary restraint. Corporate governance has developed increasingly sophisticated mechanisms for determining how much executives should be paid, while devoting comparatively less attention to the prior question of what makes executive reward legitimate.[3]

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[1] Organisation for Economic Co-operation and Development (OECD), *G20/OECD Principles of Corporate Governance* (Paris: OECD Publishing, 2023), 44–48; Financial Reporting Council, *The UK Corporate Governance Code* (London: FRC, 2024), 12–15.
[2] Michael C. Jensen and Kevin J. Murphy, "Performance Pay and Top-Management Incentives," *Journal of Political Economy* 98, no. 2 (1990): 225–264; Lucian A. Bebchuk and Jesse M. Fried, *Pay without Performance: The Unfulfilled Promise of Executive Compensation* (Cambridge, MA: Harvard University Press, 2004), 15–37.
[3] Ronald J. Gilson and Jeffrey N. Gordon, "The Agency Costs of Agency Capitalism," *Columbia Law Review* 113, no. 4 (2013): 863–927.

This limitation has become more pronounced as executive authority itself has expanded. In an environment characterised by technological disruption, geopolitical uncertainty, digital platforms, and globally integrated capital markets, chief executives shape far more than financial performance. Decisions concerning organisational culture, technological direction, workforce capability, environmental stewardship, political engagement, and long-term investment increasingly determine not only shareholder returns but the resilience and legitimacy of the corporation itself. Where authority expands without a corresponding framework of fiduciary proportionality, remuneration risks becoming an expression of bargaining power rather than entrusted stewardship.

Contemporary developments illustrate this structural disconnect. Recent evidence suggests that executive remuneration in the United States has returned to levels not seen since the immediate post-pandemic period, with an increasing number of chief executives receiving compensation packages exceeding US$100 million, driven largely by equity awards and long-term incentive plans. While such packages are frequently defended as performance-based and aligned with shareholder interests, empirical evidence continues to question the consistency of the relationship between executive compensation and sustained corporate performance. Peer benchmarking, escalating equity awards, and increasingly ambitious incentive structures have produced an upward ratchet effect that often persists independently of enduring organisational outcomes.[4]

The difficulty therefore lies not in rewarding exceptional leadership. Productive enterprise depends upon recognising competence, innovation, responsible risk-taking, and entrepreneurial vision. Nor is the issue fundamentally one of income inequality or political ideology. Rather, it concerns the normative foundations of corporate governance itself. If executive authority is fiduciary rather than proprietary, executive remuneration cannot be understood solely as a private contractual entitlement. It must also reflect the obligations inherent in entrusted authority.

These developments reveal four structural limitations within prevailing approaches to executive remuneration.

1.1. Market Benchmarking Without a Governing Principle

Executive compensation is commonly determined through peer-group comparisons and market

[4] Theo Francis and Peter Santilli, "A $100 Million Payday for U.S. CEOs Is Back," *Wall Street Journal*, 2026; Lucian A. Bebchuk and Jesse M. Fried, *Pay without Performance: The Unfulfilled Promise of Executive Compensation* (Cambridge, MA: Harvard University Press, 2004), 55–72.

benchmarking. Boards seek to ensure that remuneration remains competitive within relevant industries and talent markets. While economically rational, this approach contains an inherent escalation dynamic. Because every organisation seeks to remunerate above the median in order to attract exceptional leadership, benchmarking progressively ratchets executive compensation upward. Markets establish relative competitiveness; they do not establish legitimacy. They explain how remuneration compares with peers, not whether it remains proportionate to the authority exercised or the stewardship obligations assumed.

1.2. Performance Alignment Without Fiduciary Proportionality

Modern remuneration frameworks increasingly rely upon performance-based incentives, particularly long-term equity awards intended to align executives with shareholder interests. Although this represents a substantial improvement over purely fixed compensation, shareholder alignment alone provides an incomplete measure of fiduciary success. Executives exercise authority affecting employees, customers, suppliers, creditors, regulators, communities, and the long-term capabilities of the enterprise. Financial performance achieved through excessive risk-taking, cultural deterioration, under-investment in innovation, or erosion of stakeholder trust may satisfy incentive metrics while weakening institutional resilience. Performance therefore cannot constitute the sole basis of legitimate executive reward.[5]

1.3. Disclosure Without Legitimacy

Corporate governance reforms have substantially expanded remuneration disclosure. Annual reports now provide extensive information regarding compensation structures, performance criteria, equity awards, and remuneration committee deliberations. Transparency undoubtedly strengthens accountability. Yet disclosure answers only one governance question: what executives were paid. It does not answer the more fundamental question: why such remuneration is legitimate. Procedural transparency cannot substitute for a governing principle capable of evaluating proportionality. A remuneration package may be fully disclosed, independently approved, and entirely lawful while continuing to generate widespread concerns regarding fairness, institutional trust, and fiduciary stewardship. Legality and transparency are necessary conditions of good

[5] Colin Mayer, *Prosperity: Better Business Makes the Greater Good* (Oxford: Oxford University Press, 2018), 171–198; Alex Edmans, "The Social Responsibility of Business Is to Increase Its Profits? A Critique of the Friedman Doctrine," *Journal of Management Studies* 59, no. 1 (2022): 1–28.

governance; they are not sufficient conditions of legitimacy.[6]

1.4. Incentive Design Without Behavioural Governance

Contemporary remuneration systems devote considerable attention to incentive optimisation but comparatively little attention to the behavioural cultures those incentives generate. Compensation structures shape organisational norms. They influence risk appetite, strategic horizons, ethical conduct, leadership behaviour, and internal perceptions of fairness. Excessive emphasis on short-term financial metrics may unintentionally encourage earnings manipulation, regulatory arbitrage, imprudent leverage, or neglect of capability development. Conversely, remuneration systems that recognise stewardship, organisational resilience, innovation, and leadership formation reinforce cultures of long-term institutional responsibility. Behavioural consequences are therefore governance outcomes rather than incidental side effects. Reward architecture is inseparable from organisational culture.[7]

These limitations do not indicate the failure of existing governance reforms. Independent remuneration committees, shareholder oversight, performance-linked incentives, and enhanced disclosure have each strengthened corporate governance. Their limitation lies elsewhere: they regulate the administration of remuneration without fully addressing the governing principle by which executive reward becomes legitimate.

Corporate Dharma Rājyam (CDR) responds by proposing the *Dhārmic Principle of Fiduciary Proportionality* (DPFP). DPFP holds that executive remuneration should be governed not solely by market valuation, contractual entitlement, or shareholder approval, but by fiduciary stewardship exercised under conditions of bounded authority. Compensation thus becomes not merely a contractual outcome, but an institutional expression of fiduciary trust.

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[6] U.S. Securities and Exchange Commission, "Executive Compensation Disclosure," Release No. 33-8732A (Washington, DC: SEC, 2006); OECD, *G20/OECD Principles of Corporate Governance*, 50–52.
[7] Bengt Holmström, "Managerial Incentive Problems: A Dynamic Perspective," *Review of Economic Studies* 66, no. 1 (1999): 169–182; Colin Mayer, *Prosperity*, 171–198.

2. From Rāma Rājyam to Dharmic Proportionality: Reward as Fiduciary Stewardship

2.1. Dharma as the Governing Principle of Executive Reward

The preceding discussion identified a structural limitation within contemporary remuneration governance. Existing frameworks regulate executive compensation through contracts, market benchmarking, disclosure, and shareholder approval, yet they offer no organising principle capable of determining when executive reward remains proportionate to entrusted authority. The deficiency is therefore one of governance philosophy rather than regulatory procedure.

CDR addresses this limitation by locating the legitimacy of executive authority within the broader civilisational principle of *dharma*. In the *Vālmīki Rāmāyaṇa*, Rāma is described as *Rāmo vigrahavān dharmaḥ,* 'Rāma is *dharma* embodied'.[8] The expression neither deifies political authority nor merely celebrates personal virtue. It establishes a governing principle: authority derives its legitimacy because it is exercised under *dharma*. Rāma's sovereignty is not self-justifying. It is legitimate precisely because it remains bounded by obligations that precede and constrain power itself.

Rāma Rājyam is therefore not an idealised monarchy or a personality-centred model of governance. It is a structural condition in which power operates under restraint. The ruler does not define *dharma; dharma* defines the limits of rule. Authority endures because it remains proportionate to responsibility. Legitimacy arises because power is exercised within an order that transcends personal preference and institutional convenience.

The same organising principle extends naturally to the modern corporation. Contemporary enterprises concentrate immense authority through the allocation of capital, employment, technological innovation, environmental impact, political engagement, and cultural influence. Executive office therefore represents not merely managerial discretion but entrusted institutional power. If authority is fiduciary rather than proprietary, executive reward cannot be understood solely as a contractual entitlement. Compensation likewise derives its legitimacy from the disciplined exercise of entrusted responsibility.

Just as authority is legitimate because it is proportionate, executive reward is legitimate because it

[8] *Vālmīki Rāmāyaṇa*, Ayodhyākāṇḍa 109.11.

is proportionate to fiduciary stewardship.

This proposition forms the central thesis of the present paper. Executive remuneration becomes not merely a market outcome but an institutional affirmation that entrusted authority has been exercised within the discipline of *maryādā,* the civilisational principle that power remains bounded by responsibility.

2.2. The Athreya Doctrine Applied to Executive Stewardship

The relationship between competence and restraint receives systematic articulation in Dr. Mrityunjay Athreya's *Rāma Rājya Paradigm of Corporate Governance*.[9] This relationship was formalised in Working Paper CG-CDR-01, '*Beyond CSR and ESG: Corporate Dharma Rājyam and the Completion of Governance Architecture*', as the *Athreya Doctrine of Sustained Success.* The doctrine posits that enduring institutional success depends upon the integration of two complementary variables: organisational capability and fiduciary restraint.[10]

Applied to executive leadership, the doctrine yields four characteristic governance outcomes:

[9] M. B. Athreya, *Rāma Rājya Paradigm of Corporate Governance* (presentation at the Tattvāloka Seminar on "Lessons from Rāma Rājya for Good Corporate Governance," World Trade Centre, Mumbai, 2020), Video recording available at: https://youtu.be/-9Ft2JnwIL0?si=f6OTmcuu458oroBE

[10] Rohit Viswanath, *Beyond CSR and ESG: Corporate Dharma Rājyam and the Completion of Governance Architecture*, Working Paper **CG-CDR-01** (Mumbai: Nāṭyaśāstra Gurukulam – Centre for Civilisational Statecraft, 2026), available at: https://1drv.ms/b/c/dc40ab37c599561a/IQD1DVX2nq6oRr6sD_TVYpTFAVQ0VX3RIuXKC8rweceXjGY?e=N2H8xK; M. B. Athreya, *Onward March to Rāma Rājya*, Tattvāloka Distinguished Lecture Series (Chennai, 2018), video playlist available at: https://youtube.com/playlist?list=PLs8LRdUXZsHllDucjGOdvYJkePw_nFbAf&si=8ynNr5Hcx6efje4m

Table 1. The Athreya Doctrine Applied to Executive Stewardship

Governance Outcomes Arising from the Integration of Capability and Fiduciary Restraint

FIDUCIARY RESTRAINT / ORGANISATIONAL CAPABILITY	HIGH FIDUCIARY RESTRAINT	LOW FIDUCIARY RESTRAINT
HIGH CAPABILITY	**SUSTAINED STEWARDSHIP** *(Ideal State)* High capability disciplined by prudence, accountability, and long-term institutional purpose. This is the ideal state that Corporate Dharma Rājyam seeks to cultivate.	**EXTRACTIVE LEADERSHIP** High capability unconstrained by fiduciary restraint, generating behavioural and governance risks despite short-term success. Value extraction ultimately erodes institutional trust.
LOW CAPABILITY	**ETHICAL UNDERPERFORMANCE** Strong ethical intent and fiduciary restraint, but insufficient capability to create enduring institutional value. Requires capability building and organisational strengthening.	**INSTITUTIONAL FAILURE** Weak capability combined with weak fiduciary restraint, resulting in poor decision-making, misallocation of resources, erosion of trust, and eventual organisational decline.

Interpretive Note: Adapted from the Athreya Doctrine of Sustained Success. The matrix illustrates that durable governance outcomes depend not upon organisational capability or fiduciary restraint in isolation, but upon their integration. Corporate Dharma Rājyam extends this insight to executive remuneration through the Dhārmic Principle of Fiduciary Proportionality, developed in the following section.

The doctrine has important implications for executive remuneration.

Conventional compensation systems primarily reward measurable performance. CDR argues that executive reward should instead recognise stewardship: the disciplined exercise of capability under fiduciary restraint.

This distinction is fundamental. A highly competent executive may generate exceptional financial returns while simultaneously weakening organisational culture, encouraging excessive risk-taking, eroding stakeholder trust, or concentrating institutional dependence upon personal authority. Such leadership demonstrates capability without stewardship. Conversely, an executive exercising prudence, succession planning, capability development, ethical judgment, and institutional self-restraint contributes value extending well beyond immediate financial performance. Such stewardship strengthens the corporation's long-term resilience even where short-term market indicators fail to capture its full contribution.

The *Athreya Doctrine* therefore introduces a critical distinction between performance and stewardship. Performance measures what leaders achieve. Stewardship evaluates how authority has been exercised in achieving those outcomes. Executive remuneration should recognise both.

2.3. From Authority to Stewardship: The Executive as Fiduciary

Modern governance frequently treats the chief executive as an agent employed to maximise shareholder value. CDR advances a broader understanding. The executive occupies a fiduciary office within a continuing institution whose purpose extends beyond any individual office-holder. Authority is therefore exercised in trust rather than possessed as private property.

This understanding resonates deeply with India's civilisational traditions. The *Bhagavad Gītā* situates action within duty rather than attachment to personal reward, presenting disciplined action as the hallmark of responsible leadership.[11] *Karma Yoga* neither rejects achievement nor discourages excellence; it locates both within entrusted responsibility rather than personal appropriation. Similarly, the *Arthaśāstra* consistently portrays political authority as custodial, requiring rulers to preserve the prosperity and stability of the state through disciplined judgment rather than arbitrary power.[12] *Vidura Nīti* likewise emphasises restraint, impartiality, and proportionate conduct as indispensable qualities of legitimate leadership.[13]

These traditions do not prescribe rigid remuneration formulas. They articulate a durable ethic of governance:

- responsibility precedes entitlement;
- stewardship precedes reward;
- authority remains legitimate only while exercised within recognised limits.

CDR therefore advances the Executive as Fiduciary Steward model. The chief executive is neither merely an employee nor simply an agent of shareholders. The office is one of entrusted stewardship exercised on behalf of a continuing institution and its stakeholders.

Compensation therefore ceases to be merely an incentive mechanism. It becomes the institutional recognition that entrusted authority has been exercised with competence, restraint, and fidelity to purpose. Executive remuneration derives its legitimacy not simply from market success but from the disciplined stewardship through which that success has been achieved

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[11] *Bhagavad Gītā* 2.47, 3.19, 18.46.
[12] Kauṭilya, *The Arthaśāstra*, trans. R. P. Kangle (Delhi: Motilal Banarsidass, 2010), Book I, Chapters 7–9.
[13] *Mahābhārata*, Udyoga Parva, Chapters 33–40 (*Vidura Nīti*).

3. The Dharmic Principle of Fiduciary Proportionality

3.1. The Missing Governing Principle

The civilisational foundations outlined above establish that executive authority derives its legitimacy from fiduciary stewardship rather than proprietary entitlement. Yet a practical governance question remains unresolved: How should boards determine whether executive reward remains proportionate to that stewardship?

Contemporary remuneration frameworks evaluate executive compensation through disclosure, shareholder approval, peer benchmarking, contractual negotiation, and performance measurement. Each contributes to better governance. Yet none provides an organising principle by which the legitimacy of executive reward may be evaluated. Corporate governance therefore possesses increasingly sophisticated procedures for administering remuneration, but no comparable principle for judging its legitimacy.

CDR addresses this gap through the DPFP. The principle proceeds from a simple proposition: executive reward derives its legitimacy not from market valuation alone, but from its proportional relationship to fiduciary stewardship. The governing question is therefore transformed. Rather than asking, How much should executives be paid? CDR asks, What relationship should exist between entrusted authority and legitimate reward?

Executive remuneration is thus understood not merely as the contractual consequence of bargaining power, but as the institutional recognition of responsible stewardship.

3.2. Defining Dharmic Proportionality

The principle of proportionality occupies a central place within constitutional jurisprudence. Public authority remains legitimate only when the exercise of power is proportionate to the public purposes entrusted to it.[14] CDR extends this insight into the governance of the corporation.

DPFP holds that executive reward is legitimate only when it remains proportionate to the fiduciary authority exercised, the responsibilities assumed, the institutional capabilities created, the trust preserved, and the stewardship demonstrated.

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[14] Aharon Barak, *Proportionality: Constitutional Rights and Their Limitations* (Cambridge: Cambridge University Press, 2012), 131–155.

This formulation differs fundamentally from conventional remuneration frameworks. It neither advocates remuneration caps nor rejects market competition or performance-based incentives. Rather, it introduces an additional requirement: reward must remain proportionate to fiduciary stewardship.

DPFP evaluates executive leadership through two inseparable dimensions. Capability assesses what the executive contributes to the institution through performance, innovation, and long-term value creation. *Dharma* evaluates how executive authority is exercised through prudence, restraint, fairness, accountability, and stewardship. These complementary dimensions are summarised in Table 2.

The relationship may be expressed succinctly as a governing proposition:

Legitimate Executive Reward = Capability × Fiduciary Stewardship × Proportionality

The formulation is illustrative rather than mathematical. Its purpose is to emphasise that executive remuneration derives its legitimacy only where organisational capability and fiduciary stewardship remain proportionately aligned. A deficiency in either dimension weakens the legitimacy of reward regardless of contractual entitlement.

Table 2. The Dual Dimensions of Executive Stewardship under the Dhārmic Principle of Fiduciary Proportionality

ASPECT	CAPABILITY *What the executive achieves*	DHARMA *How authority is exercised*
Primary Question	What has the executive achieved?	How has authority been exercised?
Focus	Performance and capability creation	Stewardship and behavioural restraint
Evaluates	Innovation, productivity, value creation, organisational capability, long-term growth	Prudence, fairness, accountability, stakeholder responsibility, and institutional trust
Risk if Ignored	Organisational stagnation despite well-intentioned leadership	Behavioural failure and erosion of trust despite strong performance
TOGETHER THEY DETERMINE	**LEGITIMATE EXECUTIVE REWARD** *Reward is legitimate only when achievement is matched by responsible stewardship.*	

Interpretive Note: The Dhārmic Principle of Fiduciary Proportionality evaluates executive stewardship through the integration of Capability and Dharma. Only when both dimensions are present in appropriate proportion does executive reward earn constitutional legitimacy.

Table 2 illustrates that neither dimension is independently sufficient. Capability without *dharma* may generate impressive financial outcomes while simultaneously eroding institutional trust. *Dharma* without Capability preserves ethical intent but cannot sustain organisational performance or long-term value creation. The legitimacy of executive reward therefore arises not from achievement or restraint in isolation, but from their integration in appropriate proportion.

The practical implication is fundamental. Executive remuneration should not be evaluated solely by what leaders achieve, nor solely by the manner in which they exercise authority, but by the relationship between the two. DPFP therefore transforms executive compensation from a question of market valuation into a question of fiduciary stewardship.

3.3. Reward as an Institutional Relationship

Contemporary remuneration discourse frequently treats executive compensation as a bilateral transaction between the corporation and the executive. CDR advances a broader understanding. Executive office exists within a continuing institutional order whose legitimacy depends upon fiduciary relationships extending beyond shareholders alone.

Compensation therefore communicates institutional meaning. It signals how an organisation understands authority, shapes behavioural expectations, establishes norms of organisational fairness, and influences stakeholder confidence. Reward thus performs a governance function analogous to authority itself. Where executive compensation remains proportionate to stewardship, remuneration reinforces institutional legitimacy. Where reward becomes detached from fiduciary responsibility, confidence in governance gradually erodes irrespective of legal compliance.

Executive remuneration should therefore be understood not merely as an economic instrument but as an institutional expression of fiduciary trust.

3.4. The Five Dimensions of Fiduciary Proportionality

DPFP evaluates executive remuneration through five mutually reinforcing dimensions.

i. **Authority:** Reward should reflect the scope and complexity of authority legitimately exercised. Greater responsibility may justify greater reward; authority alone, however, cannot establish legitimacy.

ii. **Capability:** Compensation should recognise enduring institutional capability created through innovation, productive investment, leadership development, organisational resilience, technological advancement, and strategic renewal.

iii. **Fiduciary Stewardship:** The executive functions as custodian rather than proprietor. Reward therefore reflects not merely outcomes achieved but the manner in which authority has been exercised. Fiduciary stewardship encompasses prudence, ethical judgment, succession planning, stakeholder confidence, and preservation of institutional integrity.

iv. **Behavioural Stewardship:** Compensation structures shape organisational behaviour. Incentive systems influence risk appetite, ethical conduct, strategic horizons, leadership culture, and capability formation. Reward remains proportionate only where these behavioural incentives reinforce long-term institutional responsibility rather than short-term extraction.

v. **Trust:** The ultimate test of proportionality lies in whether executive remuneration strengthens or weakens institutional trust. Trust constitutes productive capital. Compensation practices that systematically undermine employee confidence, board independence, stakeholder relationships, or public legitimacy cannot be regarded as fully proportionate regardless of market justification.

Together, these five dimensions transform remuneration from a financial calculation into a governance relationship between authority and responsibility.

3.5. Distinguishing DPFP from Existing Governance Frameworks

Existing theories explain executive remuneration from different perspectives.

Agency theory primarily treats executive compensation as an incentive problem, seeking to align managers with shareholders through contractual mechanisms.[15]

Market-based approaches explain remuneration through competition for executive talent, peer benchmarking, and labour-market dynamics.[16]

Stewardship theory recognises broader organisational commitment and intrinsic motivation but

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[15] Michael C. Jensen and William H. Meckling, "Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure," *Journal of Financial Economics* 3, no. 4 (1976): 305–360.
[16] Lucian A. Bebchuk and Jesse M. Fried, *Pay without Performance: The Unfulfilled Promise of Executive Compensation* (Cambridge, MA: Harvard University Press, 2004), 23–40.

provides limited guidance for determining proportionate executive reward.[17]

CDR incorporates insights from each while advancing a distinct proposition. The central question is neither market efficiency nor contractual optimisation alone; it is fiduciary legitimacy. DPFP therefore introduces an organising principle absent from existing governance literature. Executive remuneration remains legitimate only when authority, capability, stewardship, behavioural incentives, and institutional trust remain proportionately aligned.

3.6. The Board Test for Dhārmic Proportionality

The practical implications of DPFP may be expressed through a simple board-level test. Before approving executive remuneration, directors should ask:

1. Is the proposed reward proportionate to the authority exercised?
2. Does it reward long-term capability creation rather than short-term value extraction?
3. Does it recognise and reinforce fiduciary stewardship?
4. Will it strengthen institutional trust among employees, investors, customers, regulators, and society?
5. Would the remuneration remain defensible if evaluated from the perspective of the institution as a whole rather than any single stakeholder?

Where these questions are answered affirmatively, executive remuneration functions as an instrument of stewardship. Where they cannot be answered satisfactorily, compensation may remain legally valid and commercially competitive while falling short of fiduciary legitimacy.

DPFP therefore enables boards to evaluate executive remuneration not only for legality or competitiveness, but for fiduciary legitimacy. In doing so, it restores reward to its proper place within corporate governance: not as an entitlement of power, but as an institutional expression of entrusted stewardship.

4. Constitutional Architecture: Institutional Instruments

DPFP acquires practical significance only when translated into durable institutional arrangements. Governance is sustained not by ethical aspiration alone, but by structures that embed judgment,

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[17] James H. Davis, F. David Schoorman, and Lex Donaldson, "Toward a Stewardship Theory of Management," *Academy of Management Review* 22, no. 1 (1997): 20–47.

transparency, proportionality, and fiduciary restraint within organisational decision-making.

CDR therefore introduces a governance architecture comprising two complementary operational domains. The first consists of Institutional Instruments: enduring governance frameworks established by the Board that define the principles governing executive remuneration. The second comprises the Dynamic Operational Cycle: the recurring processes through which remuneration is reviewed, evaluated, and recalibrated. Together, these establish the permanent architecture within which executive compensation decisions are made. This section develops the foundational institutional instruments.

4.1. The Remuneration Constitution

Conventional remuneration policies primarily prescribe procedures governing salary determination, incentive plans, contractual arrangements, and disclosure obligations. CDR proposes a broader governing instrument: the Remuneration Constitution.

Approved by the Board, the Remuneration Constitution articulates the foundational principles governing executive reward before individual remuneration decisions are considered. Rather than functioning merely as an administrative policy, it establishes the institution's enduring philosophy of executive remuneration.

The Constitution should ordinarily specify:

- the fiduciary purpose of executive office;
- principles governing the relationship between authority and reward;
- the broad architecture of fixed and variable remuneration;
- commitments to long-term capability creation;
- expectations regarding internal equity and organisational fairness;
- stewardship obligations toward stakeholders; and
- circumstances requiring structural recalibration of remuneration.

Like a corporate charter, the Remuneration Constitution disciplines future remuneration decisions by defining the governing principles that precede them.

4.2. The Board Proportionality Matrix

Executive remuneration inevitably requires informed board judgment. CDR seeks not to replace that judgment, but to discipline it through a structured framework grounded in DPFP.

The Board Proportionality Matrix, in the following page, translates this principle into a practical governance instrument. Before approving executive remuneration, the Board should evaluate the proposed reward across five complementary dimensions of fiduciary proportionality. The Matrix guides deliberation rather than prescribing mechanical outcomes, ensuring that fiduciary legitimacy receives the same disciplined attention as financial performance, market competitiveness, and shareholder returns.

The Matrix preserves Board discretion while providing a consistent framework through which remuneration committees evaluate whether proposed executive reward remains proportionate to entrusted authority, institutional capability, fiduciary stewardship, behavioural stewardship, and institutional trust.

FIGURE 1

BOARD PROPORTIONALITY MATRIX

Operationalising the Dhārmic Principle of Fiduciary Proportionality

Before approving executive remuneration, the Board should evaluate the proposed reward through five complementary dimensions of fiduciary proportionality. The Matrix guides deliberation rather than prescribing mechanical outcomes.

Dimension	Board Question	Indicative Evidence
1 AUTHORITY	Does the proposed remuneration reflect the scope, complexity, and fiduciary responsibility of the executive office, or primarily market bargaining power?	• Scale of responsibility • Enterprise complexity and strategic accountability • Breadth of fiduciary and stakeholder obligations
2 INSTITUTIONAL CAPABILITY	Has enduring organisational capability been created through innovation, investment, leadership development, technological advancement, or resilience building?	• Innovation outcomes and intellectual capital • Productive investments and capacity expansion • Leadership and talent development • Technological advancement and digital capability • Organisational resilience and adaptability
3 FIDUCIARY STEWARDSHIP	Has executive authority been exercised prudently, preserving the long-term health, integrity, and resilience of the enterprise?	• Quality of governance and board oversight • Ethical conduct and compliance record • Risk management and long-term value protection • Stakeholder interests and enterprise sustainability
4 BEHAVIOURAL STEWARDSHIP	Do remuneration incentives reinforce ethical culture, responsible risk-taking, and long-term decision-making and organisational learning?	• Alignment of incentives with long-term value • Ethical culture and tone at the top • Responsible risk-taking and decision quality • Organisational learning and knowledge retention
5 INSTITUTIONAL TRUST	Will the proposed remuneration strengthen or weaken confidence among employees, investors, customers, regulators, and the wider public?	• Employee engagement and internal trust indicators • Investor and analyst feedback • Customer and partner confidence • Regulatory and public reputation

BOARD DECISION RULE

Executive remuneration should ordinarily proceed only where the Board is satisfied that **reasonable proportionality** exists across all five dimensions. Weakness in one or more dimensions should trigger **further deliberation and, where necessary, recalibration** before approval.

- **PROPORTIONATE** — Proceed
- **CONCERNS** — Deliberate Further
- **DISPROPORTIONATE** — Do Not Approve

INTERPRETIVE NOTE

The Board Proportionality Matrix operationalises the Dhārmic Principle of Fiduciary Proportionality by translating fiduciary stewardship into a structured board deliberation framework. It is intended to guide judgment rather than prescribe mechanical outcomes.

4.3. The Fiduciary Balance Sheet

Traditional corporate reporting evaluates financial assets and liabilities. CDR introduces a complementary governance instrument: the Fiduciary Balance Sheet.

The framework distinguishes between fiduciary assets and fiduciary liabilities, enabling boards to assess whether executive remuneration corresponds with the long-term condition of the institution rather than isolated financial outcomes. It recognises that organisations continuously accumulate intangible forms of capital (such as trust, leadership credibility, ethical culture, and institutional resilience) as well as intangible liabilities, including behavioural risk, cultural erosion, governance opacity, and succession dependence.

The central proposition is straightforward: executive remuneration should be evaluated not only against financial performance, but also against the institution's net fiduciary position. Sustainable value creation is reflected not merely in stronger earnings, but in the accumulation of fiduciary assets and the disciplined containment of fiduciary liabilities.

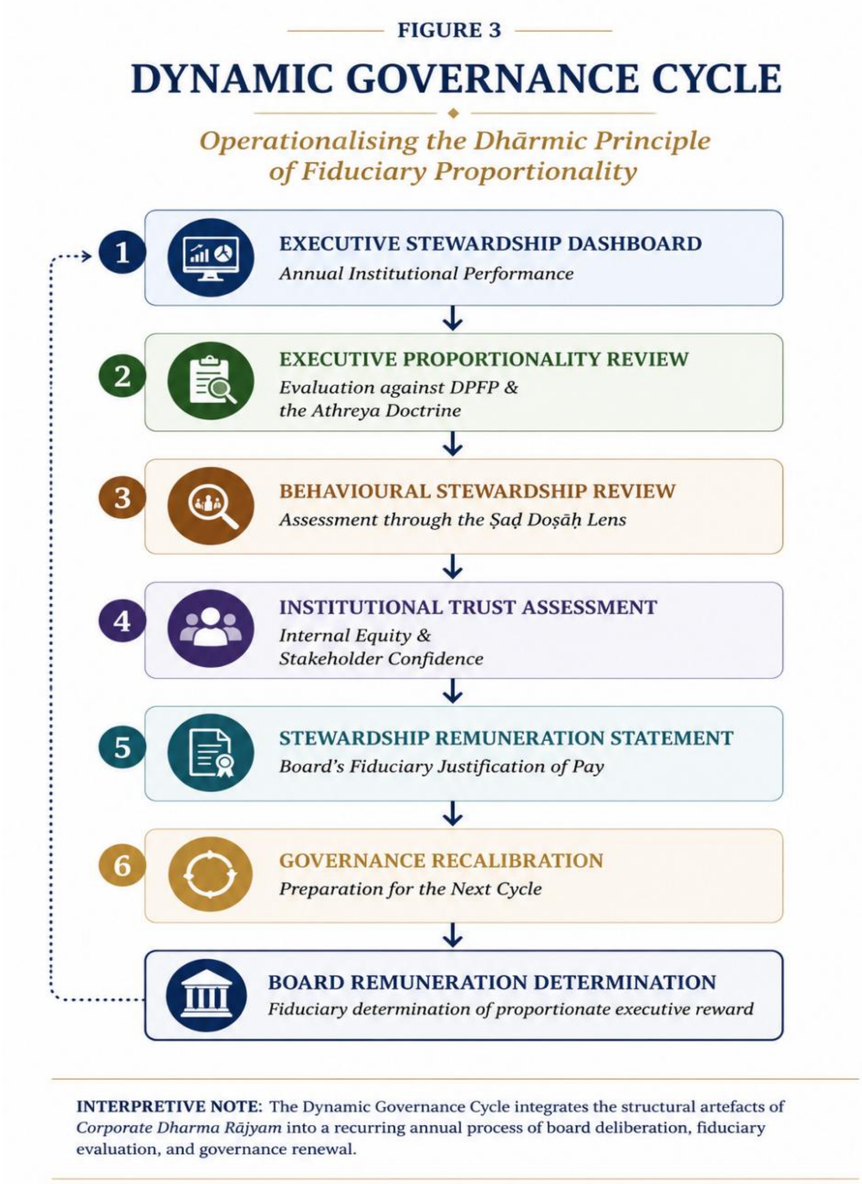
The Fiduciary Balance Sheet therefore shifts the focus of remuneration governance from annual financial outcomes to the enduring health, legitimacy, and resilience of the enterprise. It is intended not as an accounting statement, but as a governance diagnostic that complements conventional financial reporting by making visible the intangible conditions upon which long-term institutional success ultimately depends.


FIGURE 2
FIDUCIARY BALANCE SHEET
Measuring the Intangible Capital of Corporate Stewardship
The Fiduciary Balance Sheet complements the financial balance sheet by enabling boards to evaluate the growth or erosion of intangible institutional capital.
FIDUCIARY ASSETS
Indicators that strengthen institutional legitimacy
Organisational Trust
Confidence of employees, investors, customers and society.
Leadership Credibility
Reputation for integrity, competence and consistent conduct.
Ethical Culture
Shared norms of fairness, integrity and accountability.
Innovation Capability
Capacity to generate, adopt and scale new ideas.
Stakeholder Confidence
Trust and confidence across all stakeholder groups.
Institutional Resilience
Ability to adapt, withstand shocks and sustain long-term purpose.
NET FIDUCIARY POSITION
Board Assessment of Institutional Stewardship
FIDUCIARY LIABILITIES
Conditions that weaken institutional legitimacy
Behavioural Risk
Risk of misconduct, imprudent actions or ethical lapses.
Succession Dependence
Over-reliance on individuals with weak succession readiness.
Cultural Erosion
Decline of values, purpose and organisational cohesion.
Governance Opacity
Lack of transparency, clarity or information integrity.
Whistle-blower Latency
Delayed reporting, poor protection or inadequate response.
Institutional Fragility
Weaknesses in systems, processes or overall institutional robustness.
INDICATIVE BOARD METRICS
Employee Trust Surveys
Succession Readiness
Innovation Pipeline Strength
Whistle-blower Responsiveness
Governance Assessment Scores
Stakeholder Confidence Indices
Board Culture Reviews
GROWTH IN FIDUCIARY ASSETS
>
GROWTH IN FIDUCIARY LIABILITIES
=
HEALTHY STEWARDSHIP
INTERPRETIVE NOTE
Unlike a conventional financial balance sheet, the Fiduciary Balance Sheet evaluates the intangible assets and liabilities that shape long-term institutional legitimacy. It is intended as a governance diagnostic to support board judgment rather than as an accounting statement.

5. The Dynamic Governance Cycle

If the Institutional Instruments establish the enduring constitutional architecture of executive remuneration, the Dynamic Governance Cycle provides its recurring discipline. DPFP acquires practical effect only when translated into an annual process through which executive stewardship is evaluated, remuneration is determined, and governance continually renewed.

The Dynamic Governance Cycle comprises six recurring stages through which the Board evaluates executive stewardship, determines proportionate remuneration, and continually renews the governance architecture. Figure 3 summarises the annual governance cycle.



The Dynamic Governance Cycle translates the enduring Institutional Instruments into a recurring process of fiduciary evaluation, remuneration determination, and governance renewal.

5.1. The Executive Stewardship Dashboard

The cycle begins with the Executive Stewardship Dashboard, which consolidates the information required for informed board deliberation. Executive stewardship is inherently multidimensional; remuneration should therefore reflect balanced institutional performance rather than isolated financial outcomes.

The Dashboard ordinarily evaluates four domains:

- **Financial Performance:** sustainable profitability, prudent capital allocation, and long-term shareholder value.
- **Institutional Capability:** innovation, research and development, leadership development, infrastructure, and organisational learning.
- **Behavioural Stewardship:** ethical leadership, organisational culture, employee engagement, and compliance integrity.
- **Institutional Trust:** customer confidence, regulatory credibility, stakeholder relationships, and community legitimacy.

No single indicator determines executive reward. Considered together, these domains provide the Board with a balanced assessment of executive stewardship and the institutional context within which remuneration is to be determined.

5.2. The Annual Executive Proportionality Review

The Board then undertakes the Executive Proportionality Review, applying DPFP through the analytical framework of the *Athreya Doctrine of Sustained Success.*

Rather than retrospectively defending remuneration, the Review asks whether executive reward remains proportionate to the long-term condition of the institution. The Board evaluates:

- whether executive authority has been exercised responsibly;
- whether enduring institutional capability has been strengthened;
- whether fiduciary stewardship has enhanced organisational resilience; and
- whether proposed remuneration remains proportionate to these outcomes.

Where disproportionality is identified, the Board is expected to recalibrate remuneration before external correction becomes necessary. Consistent with CDR, institutional self-correction precedes regulatory correction.

5.3. The Behavioural Stewardship Review

Executive remuneration shapes organisational behaviour as much as it rewards performance. The Behavioural Stewardship Review therefore examines how remuneration structures influence leadership culture, risk appetite, ethical conduct, and long-term decision-making.

Drawing upon the classical framework of the *Ṣaḍ Doṣāḥ* described in the *Vidura Nīti*,[18] the Board evaluates whether remuneration inadvertently encourages enduring behavioural distortions.

- **Nidrā** — rewards that encourage complacency despite declining performance.
- **Tandrā** — structures that isolate leadership from institutional realities.
- **Bhaya** — incentives that discourage prudent innovation through excessive downside risk.
- **Krodha** — hyper-competitive targets that undermine organisational cohesion.
- **Ālasya** — reward systems that neglect long-term capability development.
- **Dīrghasūtratā** — incentives that defer essential investment in favour of short-term financial appearance.

The Review shifts governance from reactive compliance towards preventive behavioural stewardship.

5.4. The Institutional Trust Assessment

Institutional legitimacy ultimately depends upon trust. The Institutional Trust Assessment therefore evaluates whether executive remuneration strengthens organisational cohesion and stakeholder confidence.

CDR draws inspiration from the *Arthaśāstra,* which established differentiated yet proportionate remuneration for public officials in order to preserve administrative integrity, discourage corruption, and maintain systemic stability.[19] The principle is not equality of reward, but proportionality of responsibility.

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[18] *Mahābhārata*, *Udyoga Parva*, Chapter 33 (*Vidura Nīti*).
[19] Kauṭilya, *The Arthaśāstra*, Book V, Chapter 3.

Applied to the corporation, the Assessment examines executive-to-employee pay relationships, internal perceptions of fairness, stakeholder confidence, and organisational cohesion as indicators of fiduciary legitimacy rather than merely regulatory disclosure.

5.5. Stewardship Remuneration Statement

The cycle concludes with the Stewardship Remuneration Statement, issued alongside the annual report.

Existing governance frameworks require extensive disclosure regarding the composition of executive remuneration but seldom require boards to explain why proposed remuneration is fiduciarily justified.

The Statement therefore records:

- the Board's justification for executive remuneration under DPFP;
- the relationship between remuneration and long-term institutional capability;
- the behavioural safeguards incorporated into incentive structures; and
- the manner in which remuneration strengthens institutional trust.

Disclosure is thereby complemented by fiduciary justification.

5.6. Governance Calibration

The final stage is Governance Recalibration.

Insights generated throughout the Dynamic Governance Cycle are used to refine the Remuneration Constitution, the Board Proportionality Matrix, and associated governance instruments before the commencement of the next remuneration cycle.

The Cycle ensures that DPFP remains a living discipline of corporate governance, capable of evolving alongside changing organisational strategy, stakeholder expectations, and institutional purpose. Executive remuneration is therefore governed through a process of continuous institutional learning rather than static contractual administration.

Taken together, the Institutional Instruments and the Dynamic Governance Cycle constitute an integrated governance architecture for executive remuneration under DPFP. The Institutional

Instruments establish the enduring constitutional framework within which executive remuneration is determined, while the Dynamic Governance Cycle provides the recurring processes through which Boards exercise fiduciary judgment. Executive remuneration thus becomes not an isolated annual decision, but the culmination of a disciplined system of governance that integrates authority, stewardship, institutional capability, behavioural responsibility, and institutional trust.

6. Regulatory Fit and Adoption Pathways

DPFP is intended to complement rather than displace existing corporate governance frameworks. It introduces a governing principle for evaluating executive remuneration without requiring legislative amendment or regulatory restructuring. Its purpose is not to expand regulation but to strengthen the quality of board judgment within existing governance institutions.

Contemporary governance systems already regulate executive remuneration through disclosure obligations, board oversight, independent remuneration committees, shareholder participation, and fiduciary duties. These mechanisms have significantly improved transparency and accountability. The limitation identified in this paper is therefore not regulatory absence but normative incompleteness. Existing frameworks prescribe procedures for determining executive reward but provide comparatively limited guidance regarding the principle by which remuneration should be judged proportionate to entrusted authority.

CDR therefore proposes an evolutionary rather than disruptive approach to reform. DPFP may be introduced progressively through voluntary governance standards, board-level adoption, institutional investor engagement, and professional practice before any future consideration of statutory recognition.

6.1. Compatibility with Existing Corporate Governance Frameworks

The proposed framework aligns closely with the objectives of existing governance regimes. The Companies Act, 2013, together with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, already emphasise board accountability, fiduciary responsibility, independent oversight, and transparent remuneration governance.[20] DPFP does not alter these obligations. Instead, it provides an additional normative lens through which boards may evaluate executive remuneration.

[20] *Companies Act, 2013* (India), §§149, 166, 178; Securities and Exchange Board of India, *SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015*, Regulations 17, 19, and Schedule V.

Similarly, the G20/OECD Principles of Corporate Governance encourage remuneration systems that promote long-term organisational success, prudent risk management, and sustainable value creation.[21] DPFP advances these objectives by explicitly relating executive remuneration to fiduciary stewardship, institutional capability, behavioural governance, and long-term trust. The framework is therefore compatible with international governance standards while providing a more comprehensive normative foundation for board deliberation.

6.2. Incremental Adoption Pathway

Because DPFP is voluntary, implementation may proceed incrementally. Organisations may initially adopt selected governance instruments (including the Board Proportionality Matrix, Executive Stewardship Dashboard, and Behavioural Stewardship Review) within existing remuneration committee processes. As governance maturity develops, these instruments may be progressively integrated into broader board practice without altering statutory reporting obligations.

This staged approach enables institutional learning while minimising implementation costs.

6.3. Role of Institutional Investors

Institutional investors increasingly evaluate governance quality alongside financial performance. DPFP provides an additional framework through which executive remuneration may be assessed beyond conventional disclosure metrics.

Rather than focusing exclusively on the magnitude of executive compensation, investors may evaluate whether remuneration demonstrates proportionate stewardship, long-term capability creation, prudent incentive design, institutional resilience, and a balanced relationship between authority and reward.

DPFP therefore complements existing stewardship codes by strengthening qualitative board evaluation rather than expanding regulatory prescription.[22]

6.4. Guidance for Regulators

The framework does not require immediate legislative amendment. Its principles may instead be

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[21] Organisation for Economic Co-operation and Development, *G20/OECD Principles of Corporate Governance* (Paris: OECD Publishing, 2023), Principles V and VI.
[22] Securities and Exchange Board of India, *Stewardship Code for Mutual Funds and All Categories of AIFs* (2020); Financial Reporting Council, *The UK Stewardship Code 2020* (London: FRC, 2020).

encouraged through Ministry of Corporate Affairs guidance notes, SEBI best-practice recommendations, voluntary corporate governance codes, director education programmes, and professional institute guidance.

Such mechanisms preserve regulatory flexibility while encouraging the gradual diffusion of improved governance practices. CDR therefore favours institutional experimentation before legislative codification.

6.5. International Relevance

Although grounded in India's civilisational traditions, DPFP is proposed as a functionally rather than culturally defined governance principle. Every corporate governance system confronts similar questions concerning executive authority, legitimate reward, institutional trust, behavioural incentives, and long-term stewardship.

Accordingly, the framework is capable of adaptation across common-law, civil-law, family-controlled, state-owned, and dispersed-shareholding corporate systems while remaining compatible with existing governance institutions. Its contribution lies not in replacing established governance models but in supplying a coherent normative principle through which executive remuneration may be evaluated.

6.6. From Institutional Practice to Regulatory Recognition

Governance reforms are most durable when institutional practice precedes legislative prescription. Independent directors, stewardship codes, ESG reporting, and many contemporary governance standards all emerged through gradual refinement before wider regulatory recognition.

CDR proposes a similar evolutionary pathway. By encouraging Boards to evaluate executive remuneration through DPFP, the framework strengthens board judgment without increasing regulatory complexity or imposing additional statutory burdens.

Existing governance systems establish the institutional mechanisms through which executive remuneration is determined. DPFP complements those mechanisms by supplying the constitutional principle through which executive remuneration is evaluated and rendered legitimate. Table 3 summarises the relationship between prevailing governance frameworks and the additional constitutional contribution of DPFP.

TABLE 3

COMPARATIVE POSITIONING OF DPFP

DPFP as a Constitutional Completion of Contemporary Remuneration Governance

EXISTING GOVERNANCE FOCUS	CONSTITUTIONAL COMPLETION UNDER DPFP	GOVERNANCE OUTCOME
Disclosure of executive remuneration	**Stewardship Remuneration Statement** *Fiduciary justification of executive reward*	**Transparency with fiduciary legitimacy** *Disclosure complemented by fiduciary reasoning*
Shareholder approval	**Board-level proportionality assessment** *Assessment of reward against fiduciary responsibility and institutional outcomes*	**Better-informed board judgment** *Aligns reward with long-term institutional condition*
Remuneration Committee oversight	**Board Proportionality Matrix** *Structured evaluation of authority, stewardship and outcomes*	**Structured fiduciary deliberation** *Enables consistency, comparability and accountability*
Incentive design	**Behavioural Stewardship Review** *Evaluation through the Ṣaḍ Doṣāh lens to identify behavioural risks in reward structures*	**Behaviour aligned with long-term stewardship** *Promotes ethical leadership and sustainable decision-making*
ESG and governance reporting	**Institutional Trust Assessment** *Assessment of trust, fairness and stakeholder confidence*	**Stronger stakeholder confidence** *Reinforces legitimacy and organisational cohesion*
Financial performance metrics	**Stewardship and capability metrics** *Integration of financial results with capability, resilience and culture*	**Sustainable institutional value creation** *Focus shifts from short-term results to enduring institutional health*

INTERPRETIVE NOTE: DPFP does not replace existing governance mechanisms. Rather, it complements them by introducing fiduciary proportionality as the constitutional principle through which executive remuneration is evaluated and determined.

DPFP should therefore be understood not as an alternative remuneration regime, but as the constitutional completion of contemporary executive compensation governance. It preserves the strengths of existing regulatory frameworks while introducing a coherent governing principle that aligns executive reward with fiduciary stewardship, institutional legitimacy, and long-term organisational success. The principal innovation lies not in additional regulation, but in a deeper constitutional understanding of executive authority and the reward that legitimately accompanies it.

7. From Principle to Practice: Institutionalising Fiduciary Stewardship

The governance of executive remuneration cannot be sustained by disclosure requirements, remuneration policies, or regulatory oversight alone. It ultimately depends upon directors, executives, investors, and governance professionals capable of exercising sound judgment where competing duties, incentives, and stakeholder interests intersect. Such judgment cannot be reduced to procedural compliance; it must be cultivated through sustained institutional formation.

CDR therefore recognises that the governance of executive reward must itself become an institutional capability. DPFP will achieve enduring influence only when embedded within board education, governance practice, professional standards, and leadership formation. Institutionalisation transforms remuneration governance from episodic decision-making into a continuing discipline of fiduciary stewardship.

7.1. A Scalable Model for Stewardship Formation

To enable adoption across organisations of differing size, ownership structures, and governance maturity, CDR proposes a layered model of stewardship formation that combines institutional depth with practical scalability.

a. Institutional Anchoring

Specialised academic institutions, governance institutes, and leadership centres may serve as custodians of research, curriculum development, certification, and the continuing refinement of DPFP. Their responsibilities include developing governance curricula, conducting practitioner research, supporting executive and board education, and periodically reviewing governance standards.

Institutions such as Nāṭyaśāstra Gurukulam, whose work focuses on leadership formation, institutional design, and governance, illustrate one possible model for such institutional anchoring within India's emerging governance ecosystem.

b. Board-Level Stewardship Programmes

Directors and remuneration committee members benefit from opportunities to examine governance dilemmas before confronting them in practice. Structured programmes may therefore include:

- Executive Stewardship Labs;
- Board Remuneration Dialogues;
- Fiduciary Proportionality Workshops;
- Board Decision Simulations; and
- Governance Reflection Retreats.

Such programmes strengthen directors' capacity to balance market realities with fiduciary responsibility under conditions of uncertainty.

c. Practitioner Networks

Institutional transformation depends upon communities of practice. CDR therefore encourages the development of practitioner networks comprising independent directors, remuneration committee members, governance professionals, institutional investors, proxy advisers, company secretaries, leadership educators, and researchers.

These communities become carriers of governance culture, facilitating diffusion through professional practice rather than regulatory mandate.

Within Nāṭyaśāstra Gurukulam, these governance frameworks also fulfil a pedagogical function. They provide the conceptual foundations that accompany the Gurukulam's embodied approach to leadership formation, in which the principles explored through scholarship are progressively internalised through disciplined practice. In this sense, research and pedagogy are complementary: the former articulates the constitutional architecture of fiduciary stewardship, while the latter seeks to cultivate practitioners capable of embodying these principles in institutional life.

7.2. Mapping Institutional Capabilities to Governance Requirements

Successful implementation requires that governance expectations be matched by corresponding institutional capabilities. Sound governance ultimately depends not only upon robust regulatory frameworks, but also upon directors, executives, and governance professionals equipped to exercise informed fiduciary judgment.

TABLE 4

INSTITUTIONALISING DPFP:

Mapping Governance Requirements to Institutional Formation Mechanisms

GOVERNANCE REQUIREMENT	INSTITUTIONAL FORMATION MECHANISM	EXPECTED GOVERNANCE OUTCOME
Executive remuneration evaluation	**Executive Stewardship Laboratory** *Experiential sessions and case dialogues for board evaluation*	**Better remuneration judgment** *Enhances quality and legitimacy of remuneration decisions*
Board judgment under fiduciary conflict	**Board Decision Laboratory** *Simulations and scenario labs for complex fiduciary decisions*	**Stronger fiduciary decisions** *Improves board judgment in conflict-prone situations*
Incentive architecture design	**Governance Design Clinic** *Design thinking support for aligned incentive and governance systems*	**Better stewardship alignment** *Aligns incentives with long-term institutional purpose*
Behavioural governance	**Leadership Formation Programme** *Deepening ethical leadership and stewardship sensibilities*	**Reduced behavioural risk** *Cultivates ethical leadership and responsible decision-making*
Organisational culture evaluation	**Institutional Stewardship Diagnostic** *Data-informed assessment of culture, cohesion and trust indicators*	**Stronger organisational trust** *Builds culture, cohesion and stakeholder confidence*
Executive governance review	**Executive Proportionality Review** *Periodic review of proportionality and governance effectiveness*	**Continuous governance improvement** *Institutional learning and adaptive governance over time*

INTERPRETIVE NOTE: The table illustrates how Corporate Dharma Rājyam translates the constitutional principles of DPFP into institutional formation mechanisms that support sustained board stewardship. These mechanisms are illustrative rather than prescriptive and may be adapted to organisational context.

These institutional formation mechanisms strengthen Board capability without diminishing Board responsibility. Their purpose is not to prescribe mechanical decisions, but to cultivate the fiduciary judgment upon which effective governance ultimately depends.

Institutional support complements rather than replaces board responsibility. By systematically developing the capabilities required for remuneration evaluation, fiduciary deliberation, behavioural stewardship, and governance review, these institutional formation mechanisms strengthen the quality of board judgment while preserving the Board's ultimate responsibility for executive remuneration decisions.

7.3. Balancing Scholarly Rigour and Practical Adoption

Corporate governance reforms frequently encounter one of two limitations. Some remain conceptually rigorous but operationally inaccessible. Others achieve widespread adoption only by sacrificing theoretical coherence.

CDR deliberately combines conceptual rigour with practical usability. Its principles draw upon India's civilisational traditions, comparative corporate governance scholarship, and fiduciary theory, while its governance instruments are designed for direct application by boards and remuneration committees. This balance seeks to preserve intellectual integrity without compromising institutional relevance.

7.4. Stewardship as Governance Infrastructure

Executive remuneration is frequently treated as a specialised function of human resources or compensation consulting. CDR advances a broader understanding. The governance of executive reward constitutes an integral component of the corporation's governance infrastructure.

Just as financial controls safeguard capital, and compliance systems safeguard legality, remuneration governance safeguards fiduciary judgment, behavioural discipline, institutional legitimacy, and long-term trust.

Without these disciplines, remuneration systems may remain procedurally compliant while gradually weakening organisational cohesion and public confidence. Institutionalising the DPFP therefore strengthens governance not by expanding regulation but by improving the quality of judgment through which authority is exercised.

7.5. Research, Pilots, and Continuing Development

The framework proposed in this paper is intended as a living governance architecture rather than a completed code. Its continued refinement should proceed through pilot implementation within volunteer organisations, comparative case studies, longitudinal evaluation of governance outcomes, collaboration with business schools and governance institutes, and sustained engagement with regulators, institutional investors, and professional bodies.

CDR therefore favours institutional learning before legislative prescription. The continued development of DPFP should emerge through empirical experience while preserving its normative foundations. As with many enduring governance innovations, widespread adoption is most likely to follow an evolutionary pathway in which research informs board education, professional practice shapes institutional adoption, and sustained institutional success ultimately supports broader regulatory recognition.

Figure 4 illustrates the evolutionary pathway through which research, institutional practice, and professional adoption may progressively contribute to wider regulatory recognition.

FIGURE 4

RESEARCH AND ADOPTION PATHWAY

From Inquiry to Institutional and Regulatory Recognition

1 RESEARCH

Generate and deepen knowledge on fiduciary proportionality, stewardship, and executive reward.

- Academic studies
- Empirical research
- Comparative analysis
- Working papers

2 BOARD EDUCATION

Equip directors with the frameworks, principles, and tools for informed fiduciary decision-making.

- Director education programmes
- Workshops and seminars
- Framework orientation
- Case-based learning

3 PROFESSIONAL PRACTICE

Embed DPFP principles into the practice of governance through advisors, consultants, and governance professionals.

- Advisory integration
- Governance design support
- Implementation guidance
- Professional standards

4 INSTITUTIONAL ADOPTION

Adopt DPFP frameworks and instruments within organisations as part of governance systems and processes.

- Policy and instrument adoption
- Board processes integration
- Organisational alignment
- Performance monitoring

5 REGULATORY RECOGNITION

Inform regulatory standards and codes as the principle gains credibility and evidenced impact.

- Engagement with regulators
- Policy influence and advocacy
- Code and standard recognition
- Broader ecosystem acceptance

INTERPRETIVE NOTE: The pathway reflects an evolutionary progression in which rigorous research and capability building within institutions lead to voluntary adoption and, over time, to recognition within the regulatory framework.

8. Strategic Case for Dhārmic Principle of Fiduciary Proportionality (DPFP)

Corporate governance is increasingly judged not merely by the efficiency with which corporations generate wealth, but by the legitimacy with which they exercise power. Executive remuneration has consequently become one of the defining governance questions of the twenty-first century, serving as a visible indicator of how boards understand authority, responsibility, and institutional trust. Rising executive pay ratios, shareholder revolts against remuneration packages, widening internal income disparities, and growing scrutiny from institutional investors have elevated remuneration governance from a specialised board function to a strategic concern.[23]

These developments reflect a broader transformation in corporate governance. Financial performance remains indispensable, yet investors, regulators, employees, and society increasingly evaluate corporations through their capacity to sustain legitimacy and trust over long time horizons. Institutions that fail to maintain public confidence now encounter reputational volatility, shareholder activism, regulatory intervention, and declining stakeholder commitment with unprecedented speed. Executive remuneration therefore functions not merely as a compensation policy but as an institutional signal of how authority is exercised.

Existing governance frameworks have responded through greater disclosure, stronger board oversight, more sophisticated incentive structures, and enhanced shareholder engagement. These reforms have significantly improved transparency and accountability. Yet recurring controversies surrounding executive remuneration demonstrate that procedural refinement alone cannot resolve questions of legitimacy. Disclosure explains how remuneration is determined; it does not establish why executive reward remains proportionate to entrusted authority.[24]

DPFP addresses this normative gap. Rather than opposing market incentives or entrepreneurial ambition, DPFP aligns executive remuneration with fiduciary stewardship. Executive reward thereby becomes an institutional affirmation of responsible authority rather than an isolated contractual outcome.

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[23] Organisation for Economic Co-operation and Development, *G20/OECD Principles of Corporate Governance* (Paris: OECD Publishing, 2023), 44; Lucian A. Bebchuk and Jesse M. Fried, *Pay without Performance: The Unfulfilled Promise of Executive Compensation* (Cambridge, MA: Harvard University Press, 2004), 1–12; Theo Francis, "CEOs Are Pulling In Record Pay; Here Are Some Big Numbers," *The Wall Street Journal*, June 27, 2026.
[24] Financial Reporting Council, *The UK Corporate Governance Code* (London: FRC, 2024), 16–18; Securities and Exchange Board of India, *SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015*, as amended.

This distinction assumes increasing strategic significance as corporate governance confronts multiple structural pressures simultaneously. Global enterprises operate within environments characterised by geopolitical uncertainty, technological disruption, digital transparency, activist investors, and rising expectations of responsible leadership. Executive decisions increasingly shape not only shareholder returns but organisational resilience, workforce capability, supply-chain stability, environmental responsibility, and institutional trust. Remuneration systems that reward only financial outcomes risk overlooking these broader stewardship responsibilities.[25]

The strategic challenge therefore extends beyond executive compensation itself. It concerns the relationship between authority, legitimacy, and long-term institutional success. Organisations capable of aligning executive reward with fiduciary stewardship are more likely to strengthen board credibility, reinforce organisational culture, improve stakeholder confidence, and reduce behavioural governance risks. Conversely, where executive reward becomes detached from stewardship, even financially successful organisations may experience a gradual erosion of institutional trust.

DPFP offers boards a practical means of addressing this challenge. It complements existing governance frameworks by providing a coherent governing principle through which authority, responsibility, capability creation, behavioural stewardship, and institutional trust may be integrated within a single philosophy of executive remuneration. The principle neither prescribes remuneration levels nor replaces market mechanisms. Rather, it restores proportionality as the organising principle through which executive reward acquires legitimacy.

Its implications extend beyond individual corporations. Institutional investors increasingly seek evidence of sustainable governance rather than short-term financial optimisation alone. Regulators continue to encourage stronger stewardship practices. Director institutes, business schools, and governance professionals increasingly recognise that leadership quality depends as much upon judgment and restraint as upon technical competence. Within this evolving landscape, DPFP provides a conceptual bridge between fiduciary responsibility and practical governance, enabling executive remuneration to be evaluated as part of the broader architecture of responsible corporate leadership rather than as an isolated financial transaction.[26] Table 5 summarises the

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[25] Colin Mayer, *Prosperity: Better Business Makes the Greater Good* (Oxford: Oxford University Press, 2018), 180–195; Alex Edmans, *Grow the Pie: How Great Companies Deliver Both Purpose and Profit* (Cambridge: Cambridge University Press, 2020), 84–112.
[26] M. B. Athreya, *Rāma Rājya Paradigm of Corporate Governance* ; M. B. Athreya, *Onward March to Rāma Rājya*.

strategic repositioning of executive remuneration under DPFP.

TABLE 5

EXECUTIVE REMUNERATION REFRAMED THROUGH DPFP

A Strategic Repositioning of Governance Questions

GOVERNANCE QUESTION	PREVAILING PERSPECTIVE	DFFP REFRAMES AS…
What legitimises executive reward?	Market valuation and incentive alignment	Fiduciary stewardship
How should remuneration be determined?	Benchmarking and performance metrics	Proportionate authority and stewardship
Who exercises fiduciary judgment?	Boards and shareholders	Boards guided by fiduciary proportionality
What constitutes executive performance?	Financial performance	Performance, capability, stewardship, and trust
Ultimate governance objective	Incentive alignment	Institutional legitimacy and long-term stewardship

As Table 5 illustrates, DPFP does not reject prevailing remuneration practices; it reinterprets them through the constitutional lens of fiduciary proportionality. In doing so, it shifts the central question of executive remuneration from market optimisation to institutional legitimacy.

Executive remuneration constitutes the first operational application of the broader CDR framework. Future companion papers will progressively extend the same constitutional logic to fiduciary trust, environmental stewardship, board responsibility, institutional culture, stakeholder governance, and other domains of enterprise leadership.

Taken together, these studies seek to articulate a coherent constitutional architecture of corporate governance in which organisational power is exercised with proportionality, restraint, fiduciary responsibility, and enduring institutional purpose. In this broader vision, DPFP is not simply a theory of executive compensation. It is the first operational expression of CDR's larger constitutional project: to re-anchor corporate governance in fiduciary stewardship, disciplined restraint, and enduring institutional purpose.

9. Conclusion: Reward as Fiduciary Stewardship

Executive remuneration remains one of the most visible expressions of corporate governance. It reflects how institutions understand leadership, distribute authority, and define success. Contemporary governance frameworks have significantly strengthened remuneration oversight through disclosure, independent board processes, shareholder participation, and performance-based incentives. Yet these mechanisms answer only part of the governing question. They explain how executive reward is determined; they do not fully explain why a particular level of reward is legitimate.

This paper has argued that the missing principle is *Dhārmic Principle of Fiduciary Proportionality* (DPFP). Building upon the framework of *Corporate Dharma Rājyam* (CDR), it has proposed that executive remuneration derives its legitimacy not merely from contractual entitlement or market valuation, but from its proportionate relationship to entrusted authority, fiduciary stewardship, capability creation, behavioural responsibility, and institutional trust.

The contribution of the paper is therefore neither to challenge market-based remuneration nor to advocate greater regulatory intervention. Rather, it introduces a governing principle through which boards may evaluate executive reward with greater coherence and fiduciary discipline. The governance instruments proposed (including the Remuneration Constitution, Board Proportionality Matrix, Fiduciary Balance Sheet, Executive Stewardship Dashboard, and Dynamic Governance Cycle) translate this principle into a practical architecture capable of strengthening board judgment while remaining fully compatible with existing governance frameworks.

The implications extend beyond executive remuneration. The governing logic developed in this paper is capable of informing other domains in which authority, incentives, and institutional legitimacy intersect. Future companion papers will progressively apply the same principles to fiduciary trust, environmental stewardship, board responsibility, institutional culture, stakeholder governance, and public leadership, extending CDR into a coherent architecture of fiduciary governance.

The central contribution of this paper may therefore be stated simply: executive remuneration is legitimate not because it is contractually agreed or market determined, but because it remains proportionate to fiduciary stewardship exercised under entrusted authority.

The enduring question is therefore not whether corporations should reward excellence. They must.

Nor is it whether markets should influence executive value. They inevitably will. The prior constitutional question is more fundamental: What is the nature of the authority from which executive reward arises?

If executive office is understood as a fiduciary trust rather than proprietary entitlement, remuneration must likewise reflect stewardship rather than extraction. Reward ceases to be merely an instrument of incentive; it becomes an expression of institutional character.

The twentieth century largely perfected the economics of executive compensation. The governance challenge of the twenty-first century is to strengthen its constitutional legitimacy. DPFP is offered as one contribution toward that larger task. By restoring fiduciary stewardship as the governing relationship between authority and reward, CDR seeks not merely to improve remuneration policy, but to deepen the constitutional foundations upon which enduring institutions are built.

Ultimately, CDR rests upon a simple yet enduring proposition: authority acquires legitimacy through responsibility; trust is sustained through stewardship; and reward remains legitimate only when it is proportionate to entrusted authority and fiduciary stewardship. DPFP is offered as one practical expression of that proposition: an evolutionary contribution to contemporary corporate governance that seeks not to restrain enterprise, but to strengthen it through disciplined fiduciary stewardship.

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